

The second method is the VC method or the exit method.

The other methods include:

- Discounted Cash Flow
- Risk Factor Summation
- Asset Value
- The Scoreboard Valuation Method

You can experiment and try for different numbers using different methods. However, the valuation needs to be defended and should have solid basis. The most common methods are industry, multiply and VC method. Others are relatively less used.

investor will try to negotiate a lower valuation



Founder will try to negotiate the highest value they can get



VALUATION

A large part of value will be decided by negotiation between the investors and the founders.

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